**IN THE NATIONAL COMPANY LAW TRIBUNAL**
**BENGALURU BENCH**

**CA(CAA)NO.8/BB/18**
**Under Section 230 to 232 of Companies Act, 2013**

**IN THE MATTER OF**
**UL INDIA PRIVATE LIMITED**
**AND**
**UL QUALITY ASSURANCE PRIVATE LIMITED**

**Order delivered on: 25.09.2018**

**UL India Private Limited**
Kalyani Platina, Block-1, No. 24,
EPIP Zone, Phase II, 3rd Floor,
Whitefield, Bangalore – 560066 ... Applicant Company No.1/ Transferee Company

**UL Quality Assurance Private Limited**
Kalyani Platina, Block-1, No. 24,
EPIP Zone, Phase II, 3rd Floor,
Whitefield, Bangalore – 560066 ... Applicant Company No.2/ Transferor Company

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s) VGB Associates
No.23, Vasupuram, 3rd Floor,
Muniswamy Road, Shivajinagar,
Bengaluru-560051

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 22.2.2018, 5.04.2018, 12.04.2018, 17.04.2018, 26.04.2018, 27.04.2018, 30.05.2018, 10.07.2018, 2.08.2018, 7.09.2018.

## ORDER

This is a Joint Application filed by the Applicant Companies namely UL India Private Limited (Applicant Company No.1/ Transferee Company) and UL Quality Assurance Private Limited (Applicant Company No.2/ Transferor Company) under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to dispense with convening of meeting of Shareholders

and Creditors of the Applicant Companies No.1 & 2 for considering the Scheme of Amalgamation, where under UL Quality Assurance Private Limited (Applicant Company No. 2 / Transferor Company) is proposed to be merged with UL India Private Limited (Applicant Company No. 1/ Transferee Company). The Scheme of Amalgamation is shown as **Annexure-L**.

The averments made in the Company Application are briefly described hereunder:-

The Applicants seek an order to dispense with convening of meeting of Shareholders and Creditors of the Applicant Companies No.1 & 2 for considering the scheme of Amalgamation where under the UL Quality Assurance Private Limited (Applicant Company No. 2 / Transferor Company) is proposed to be merged with UL India Private Limited (Applicant Company No. 1/ Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-L**.

This Application is filed on behalf of the applicant companies stating that the Applicant Company No.1/Transferee Company was incorporated on 19th December, 1997 vide Reg. No. 08/23189 (CIN U74200KA1997PTC023189) under the name and style of UL India Private Limited with Registrar of Companies, Karnataka. The Registered office of the Transferee Company is situated at Kalyani Platina, Block-1, No. 24, EPIP Zone, Phase II, 3rd Floor, Whitefield, Bangalore - 560066.

The main objects of the Applicant Company No.1/Transferee Company is inter alia to carry on and engage in the business of product safety testing and certification and inspection of equipment, machinery systems and the like and quality assessment registration services, preliminary certification, investigations, witness testing, follow up services inspections, annual audit work for total certification programme and conducting test date programme. The copy of Memorandum and Articles of Association of the Transferee Company is shown as **Annexure-B and Annexure-C**.

The authorised share capital of the Applicant Company No. 1/Transferee Company is Rs. 70,00,00,000/- divided into 7,00,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferor Company is Rs. 18,00,00,000/- divided into 1,80,00,000 Equity Shares of Rs.10/- each. The Audited balance sheet of the Applicant Company No.1/Transferee Company as on 31st March, 2017 is shown as **Annexure-D**.

It is further stated that Applicant Company No. 2/Transferor Company was incorporated on 13th April, 2006 under the name and style of Tex Analysis Laboratory Private Limited with Registrar of Companies, Maharashtra. Subsequently on 26th April, 2007 the name of the Applicant Company No.2/Transferor Company was changed to STR Labs Private Limited. On 17th June, 2010, registered office of the Applicant Company No.2/Transferor Company was shifted to Plot No. 108, Sector 6, IMT Manesar, Gurgaon, Haryana-122050. On 12th April, 2012, name of the Applicant Company No.2/Transferor Company was changed to UL Quality Assurance Private Limited. Subsequently, the registered office of the Applicant Company No.2/Transferor Company was shifted to the State of Karnataka pursuant to the order of the Regional Director dated 29.09.2016 bearing CIN no: U33111KA2006PTC097493. The Registered office of the Applicant Company No.2/Transferor Company is situated at Kalyani Platina, Block-1, No. 24, EPIP Zone, Phase II, 3rd Floor, Whitefield, Bangalore - 560066.

The main objects of the Applicant Company No.2/Transferor Company is inter alia to carry on the business of analysing, examining, checking, reporting and testing on all kinds of textiles and other consumer products for their prescribed specifications, qualities, counts, defects and other properties and conducting ecological and other analysis. Also to provide technical and laboratory testing and analysis services, technical consulting services for ensuring safety standards, compliance of processes, factories and products with legal and industry standards, to provide quality assurance services. The copy of Memorandum and Articles of Association of the Applicant Company No.2/Transferor Company is shown as **Annexure-F**.

The latest authorised capital of the Applicant Company No.2/Transferor Company is Rs. 20,00,00,000/- divided into 2,00,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.16,73,87,420/- divided into 1,67,38,742 equity shares of Rs.10/- each. The Audited balance sheet of the Applicant Company No.2/Transferor Company as on 31st March, 2017 is shown as **Annexure-G.**

It is further stated that, the Board of Directors of the Applicant Company No.1/Transferee Company and Applicant Company No.2/Transferor Company have approved and adopted a Scheme of Amalgamation at their meetings held on 31st December, 2017 respectively by virtue of which UL Quality Assurance Private Limited (Applicant Company No. 2 / Transferor Company) is proposed to be merged with UL India Private

Limited (Applicant Company No. 1/ Transferee Company) subject to confirmation. Copies of the Board Resolution of Transferor and Transferee Company dated 31st December, 2017 approving and adopting the Scheme of Amalgamation are shown as **Annexure-J & K.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No. 1/ Transferee Company has certified that there are two equity shareholders as on 31st December, 2017 of the Applicant Company No. 1/ Transferee Company is shown as **Annexure-M.**

It is further stated that there are no Secured Creditors in the Applicant Company No. 1/ Transferee Company as certified by the Chartered Accountant 31st December, 2017 shown as **Annexure-P.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No. 1/ Transferee Company has certified that there are 111 Unsecured Creditors/Trade Creditors as on 31st December, 2017 of the Applicant Company No.1/ Transferor Company shown as **Annexure-Q.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.2/Transferor Company has certified that there are two Equity shareholders as on 31st December, 2017 of the Applicant Company No.2/Transferor Company shown as **Annexure-N.**

It is further stated that there no Secured Creditors in the Applicant Company No.2/Transferor Company as certified by the Chartered Accountant 31st December, 2017 shown as **Annexure-S.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.2/Transferor Company has certified that there 11 Unsecured Creditors/Trade Creditors as on 31st December, 2017 of the Applicant Company No.2/Transferor Company shown as **Annexure-T.**

We have seen the consent affidavits of the Two Equity shareholders of Applicant Company No. 1/ Transferee Company shown as **Annexure-M and memo dated 5th September, 2018** i.e., (i) UL International Singapore Pte. Ltd. holding 17,982,000 equity shares, and (ii) UL International LLC holding 18,000 equity shares.

We have seen the consent affidavits of the Two Equity shareholders of Applicant No. 2/Transferor Company shown as **Annexure-N** i.e., (i) UL India Private Limited holding 16,738,741 equity shares and (ii) UL International LLC holding 1 equity share.

It is stated that, the value of amounts due to unsecured creditors/trade creditors of the Applicant Company No.1/Transferee Company is Rs. 1,47,29,02,577/- and 96.96% of the unsecured creditors/trade creditors representing value of Rs. 1,10,82,61,201/- have given their consent to the Scheme. We have seen consent affidavits issued by the Unsecured Creditors/Trade Creditors shown as **Annexure-R.**

It is stated that, the value of amounts due to unsecured creditors/trade creditors of the Applicant Company No.2/Transferor Company is Rs. 13,12,60,386/- and 97.95% of the unsecured creditors/trade creditors representing value of Rs. 12,85,71,184/- have given their consent to the Scheme. We have seen consent affidavits issued by the Unsecured Creditors/Trade Creditors shown as **Annexure-U.**

The Applicant Companies are seeking an order to dispense with convening of meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies on the ground that, there are Two Equity shareholders, No Secured Creditor and 111 Unsecured Creditors/Trade Creditors in Applicant Company No.1 and Two Equity Shareholders, No Secured Creditor and 11 Unsecured Creditors/Trade Creditors in Applicant Company No. 2 and all the Equity shareholders and 96.96% Unsecured Creditors/Trade Creditors of the Applicant Company No.1 and all the Equity shareholders and 97.95% value of Unsecured Creditors/Trade Creditors of Applicant Company No. 2 have given their consent by way of affidavits for the proposed scheme of amalgamation.

We have heard the Counsel appearing for the Applicant Companies and considered the materials on record. The Application is filed by the Applicant Companies which are a Transferee Company and Transferor Company for dispensing with the convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies for approving the Scheme of Amalgamation of UL Quality Assurance Private Limited (Applicant Company No. 2 / Transferor Company) is proposed to be merged with UL India Private Limited (Applicant Company No. 1/ Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-L**.

In the result, the application is allowed and holding of meeting of the Equity Shareholders and Unsecured Creditors/Trade Creditors of the Applicant Companies is

dispensed with. In any eventuality when the Applicant Companies approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before the Tribunal.

**ASHOK KUMAR MISHRA**
**MEMBER, TECHNICAL**

**RAJESWARA RAO VITTANALA**
**MEMBER, JUDICIAL**

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